

KNOW YOUR BUSINESS NATURE

The diagnostic every other decision builds on.

By Ah Hock · The Industrial Scribe · theindustrialscribe.com

The core idea

There is no standard method in manufacturing. The right way to price a job, structure a report, or negotiate with a customer depends on the nature of your business. Most people skip this diagnosis and copy whatever template they found first — that is why templates fail.

And one level deeper: your business nature is not what you *make* — it is **how the market lets you make money**. Two shops with identical machines can be opposite businesses. Every bad commercial decision I have seen up close is a **nature mismatch**: acting like the business you wish you were, instead of the one you are.

HOW TO USE THIS MODULE (10 MINUTES, ONCE)

1. You need a ChatGPT, Claude, or Gemini account. Free tier is fine.
2. Copy the Diagnostic Prompt (next page) into a new chat.
3. Answer its six questions honestly, one at a time, in plain language.
4. Read your Business Nature Profile. Save it.
5. Keep your **context line** (the AI writes it for you at the end) — paste it at the top of every AI prompt you ever run for work. It makes everything after this module smarter.

THE DIAGNOSTIC PROMPT

Run once. Keep the result forever.

You are a manufacturing strategist who has seen hundreds of Asian manufacturers. Before I use any template or workflow, interview me to identify the NATURE of my business – because the right way to work depends on it. Ask me these questions ONE AT A TIME, wait for my answer, then move on:

1. What do you make or supply, and for which sectors? (semiconductor / aerospace / automotive / oil & gas / medical / general industrial / consumer)
2. What is your volume pattern? (one-off custom jobs / repeat batches / high-volume production runs)
3. Who is your typical customer? (end OEM directly / a tier-1 supplier / a trader or middleman)
4. How do orders arrive? (competitive enquiry each time / rolling POs / annual agreements)
5. How many other companies in your region can realistically do your typical job? (many / a few / almost nobody)
6. What does it take for a new customer to start buying from you? (just a PO / sample approval / full audit + certifications + first-article inspection)

THEN tell me my BUSINESS NATURE PROFILE:

First, which BASE NATURE I am (or a mix):

- A. COMMODITY VOLUME – many competitors, the market sets the price. Money is made on utilisation and efficiency. Customers buy the absence of problems.
- B. HIGH-MIX CUSTOM – custom work, enquiry-driven. Money is made on response speed and problem-solving. Customers buy a solved problem, fast.
- C. QUALIFIED PRECISION – hard-to-enter sectors. Money is made on the qualification moat and switching cost. Customers buy risk elimination.

Second, whether the CAPTIVE OVERLAY (D) applies: if 1–2 customers make most of my revenue, I carry captive risk ON TOP of my base nature – stability plus squeeze.

FINISH with:

1. My base nature (+ captive overlay yes/no) and why, in 2–3 sentences
2. What my nature means for: how I should price, what my reports must prove, and what my real negotiation leverage is
3. My warning signs – the 2–3 signals that my nature is working against me right now
4. The classic mistake businesses of my nature make
5. Where my AI effort should go FIRST (volume paperwork / response speed / audit evidence / value-proof reporting)
6. One sentence I should paste at the top of every future AI prompt so the AI always knows my context (my "context line")

THE THREE NATURES + ONE OVERLAY, IN FULL

NATURE A

Commodity Volume — the market sets your price

- **How money is really made:** utilisation. Machines running = money; machines waiting = losses. Margin comes from efficiency, never from price.
- **What customers actually buy:** the absence of problems. Nobody remembers a good delivery; everyone remembers a late one.
- **Reports must prove:** consistency — OTD trend, rejection rate, response time.
- **Negotiation leverage:** dependability, not uniqueness.
- **Warning signs:** you win only when you are cheapest; the annual cost-down eats your whole productivity gain.
- **Classic mistake:** buying volume with below-floor pricing that never recovers.
- **Growth path:** scale up — or climb toward B or C with the profits. Standing still means shrinking margins forever.

NATURE B

High-Mix Custom — speed sets your price

- **How money is really made:** response time. The first credible answer to an enquiry wins much of the time, almost regardless of price. Your real product is certainty, delivered fast.
- **What customers actually buy:** a solved problem. They arrive with a drawing and a deadline.
- **Reports must prove:** capability breadth — problem, solution, turnaround days.
- **Negotiation leverage:** speed and problem-solving.
- **Warning signs:** enquiries pile up unanswered; one senior estimator is the bottleneck for everything; you lose jobs you never got to answer.
- **Classic mistake:** pricing custom work like commodity work — charging for hours instead of capability.
- **Growth path:** systematise the knowledge in your senior people's heads (this is where AI is almost unfair), then qualify into C-sectors.

NATURE C

Qualified Precision — the moat sets your price

- **How money is really made:** the qualification, not the parts. Your customer spent 6–18 months auditing you; replacing you costs them the same again. That switching cost IS your margin.
- **What customers actually buy:** risk elimination. They pay premium so nothing ever surprises them.
- **Reports must prove:** control — traceability, audit-readiness, capability data.
- **Negotiation leverage:** switching cost.
- **Warning signs:** you price against unqualified competitors (they cannot even bid); you treat audit prep as a burden instead of as the product.
- **Classic mistake:** giving away the premium your qualification earns.
- **Growth path:** more qualifications, deeper into the same customers' programs, longer agreements. Being impossible to remove beats being big.

THE OVERLAY

Captive / Tier-Dependent — the relationship sets your price

This one is not a fourth box — it is a **condition that sits on top of A, B, or C**. A captive commodity shop and a captive precision shop face completely different risks. Captivity changes your risk, not your craft.

- **How money is really made:** embeddedness — their process assumes you exist.
- **Warning signs:** you cannot name your #3 customer; price cuts arrive as announcements, not negotiations.
- **The rule:** serve the big customer excellently, *measure* your value contribution in RM every quarter — negotiate with receipts — and treat building customer #3 as insurance you pay for monthly.

THE TELLS — SPOT A NATURE IN 60 SECONDS

Look at	A says	B says	C says
The inbox	POs and delivery chasers	Drawings and "can you do this?"	Audit schedules and ECN notices
What customers argue about	Price per piece	Lead time	Documentation
Who wins deals	Cheapest reliable	Fastest credible	Already-qualified

WHERE YOUR AI EFFORT SHOULD GO — BY NATURE

This is the master key. The same AI budget should be spent completely differently depending on your nature:

Nature	Automate first	The win
A — Commodity Volume	Volume paperwork: delivery notes, order confirmations, weekly reports	Hours back, every week
B — High-Mix Custom	Response: enquiry triage, feasibility summaries, proposal assembly	Speed to first credible answer
C — Qualified Precision	Evidence: traceability reports, audit packs, CAPA documentation	Flawless control records
+ Captive overlay	Value proof: quarterly contribution reports, in RM	Negotiating power

Same tools. Different playbooks. Every TIS Module after this one reads differently depending on your profile — which is exactly why this module comes first.

FOUR WORKED PROFILES (FICTIONAL COMPANIES, REAL METHOD)

Company	Answers	Diagnosis
Metal stamping, 80 staff	Consumer + industrial, high volume, via traders, annual agreements, many competitors, PO only	A — commodity volume. Win on documentation speed and delivery record.
CNC job shop, 25 staff	General industrial, one-off custom, direct + tier-1 mix, enquiry each time, a few competitors, sample approval	B — high-mix custom. Response speed is the business.
Precision machining, 120 staff	Semiconductor + aerospace, repeat batches, tier-1 customers, rolling POs, almost nobody nearby, full audit	C — qualified precision. The audit is the product.
Plastic moulder, 60 staff	Automotive, high volume, one OEM = 70% of revenue, annual agreement, a few competitors, full audit	C + captive overlay — protect the floor, measure value quarterly, build customer #3.

THE CHEAT SHEET — STICK IT BESIDE YOUR MONITOR

	A — Commodity	B — High-Mix	C — Qualified
Price how	Market sets it; protect the floor	Capability, not hours	Moat premium; never match the unqualified
Prove what	Consistency	Capability + speed	Control
Leverage what	Dependability	First credible answer	Switching cost
AI first	Volume paperwork	Enquiry response	Audit evidence
Classic mistake	Buying volume below floor	Charging hours	Giving away the premium

Captive overlay check (any nature)

1–2 customers = most of revenue? Then: measure your contribution in RM quarterly · negotiate with receipts · build customer #3 as monthly insurance.

My context line

Write the one-sentence context line the diagnostic gave you here, and paste it at the top of every AI prompt you run from now on:
